

# FEDERAL MARITIME COMMISSION

## Office of Administrative Law Judges

CROCUS INVESTMENTS, LLC AND CROCUS, FZE,  
*Complainants,*

v.

MARINE TRANSPORT LOGISTICS, INC. AND ALEKSANDR  
SOLOVYEV A/K/A ROYAL FINANCE GROUP INC.,  
*Respondents.*

**DOCKET NO. 15-04**

Served: December 9, 2020

---

**BEFORE:** Erin M. WIRTH, *Chief Administrative Law Judge.*

---

### INITIAL DECISION ON REMAND<sup>1</sup>

#### I. INTRODUCTION

##### A. Overview and Summary of Decision

On May 27, 2015, Complainants Crocus Investments, LLC (“Crocus Investments”) and Crocus, FZE (collectively “Crocus”) commenced this proceeding by filing a complaint alleging that Respondents Marine Transport Logistics, Inc. (“MTL” or “Marine Transport”) and Aleksandr Solovyev a/k/a Royal Finance Group, Inc. (“RFG”), violated section 41102(c) of the Shipping Act of 1984 (“Shipping Act” or “Act”) with regard to three boats. Respondents’ answer denied the allegations.

On June 17, 2016, an initial decision dismissed the claims regarding all three boats and found “that the third boat never left the United States; therefore, the third boat never entered into international commerce, the Shipping Act does not apply, and the Commission does not have jurisdiction to resolve disputes regarding its handling.” Initial Decision (“I.D.”) at 1-2. On July 16, 2019, the Commission vacated and remanded the claim regarding the storage or other arrangements for the third boat, the Formula, and affirmed the initial decision in all other respects. Memorandum Opinion and Order (“Commission Order”) at 22. Therefore, the focus of this remand decision is only on the section 41102(c) claim against MTL regarding the Formula boat.

---

<sup>1</sup> This initial decision on remand will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. 46 C.F.R. § 502.227.

The Crocus Complainants, both owned and operated by Alexander Safonov, are in the business of buying used boats that they repair and resell overseas through an affiliated company, Middle East Asia Alfa, FZE (“Middle East Asia”), which has facilities in Dubai, United Arab Emirates. Commission Order at 2. Safonov retained the services of Respondent Aleksandr Solovyev, acting on behalf of his companies, and Respondent MTL to make arrangements to purchase, store, and transport boats that Crocus intended to resell overseas. *Id.* Under their arrangement, Safonov and Solovyev would typically view boats online and Safonov would decide which boats to purchase. *Id.* at 3. Solovyev would then arrange for the purchase of the boats, and, prior to overseas shipment, their storage in a New Jersey warehouse operated by World Express & Connection, Inc. (“World Express”), a company which Solovyev also owns. *Id.* at 2-3. Transportation of Crocus’s boats to Dubai was arranged by Solovyev acting as an agent for MTL, a licensed non-vessel operating common carrier (“NVOCC”) owned by Mr. Solovyev’s estranged wife, Alla Solovyeva. *Id.* at 3.

As discussed below, although the Commission has jurisdiction over the claims related to the Formula boat, Complainants have not established by a preponderance of the evidence that Respondent MTL violated the Shipping Act with respect to the Formula boat. Therefore, the complaint is dismissed.

## **B. Procedural History**

### **1. Initial Decision**

Complainants filed their complaint on May 27, 2015, and Respondents filed their answer on July 10, 2015. The parties engaged in discovery. Briefing on the merits was completed on February 25, 2016.

On June 17, 2016, the initial decision was issued dismissing the complaint and finding that Complainants “have not proved by a preponderance of the evidence that Respondents Marine Transport Logistics, Inc., and Aleksandr Solovyev a/k/a Royal Finance Group, Inc., violated section 41102(c) of the Shipping Act of 1984, 46 U.S.C. § 41102(c) or that Respondent Aleksandr Solovyev a/k/a Royal Finance Group, Inc., violated section 40901(a).” The initial decision stated:

As set forth more fully below, in separate shipments, MTL operated as an NVOCC when it transported by water two of the boats at issue from the United States to Dubai, United Arab Emirates, and delivered them to the consignee without problem. Complainants do not claim that Respondents violated the Act on these shipments. The boats were then returned to the United States and delivered to MTL as consignee. Complainants contend that MTL operated as an NVOCC on this shipment, but the evidence does not establish that MTL operated as an NVOCC. The evidence establishes that the third boat never left the United States; therefore, the third boat never entered into international commerce, the Shipping Act does not apply, and the Commission does not have jurisdiction to resolve disputes regarding its handling. Complainants have not proved by a preponderance of the evidence that Respondents violated the Act. Therefore, the complaint is dismissed.

I.D. at 2.

The initial decision discussed the third boat, the Formula, stating:

On August 7, 2013, Safonov instructed Solovyev to purchase a 2010 Formula boat 34PC, VIN TNRD7870C010 with the intention of sending the boat to Dubai for repair and resale. Solovyev, through Car Express, purchased the Formula for a total of \$56,280. The Formula required a trailer for ocean shipment. The record contains three different RFG invoices with the same number for this purchase. On August 7, 2013, RFG issued invoice #1189AT to Alexander Safonov, Crocus Investments in the amount of \$56,280 for purchase of the Formula and \$3,500 for delivery, a total of \$59,780. Also on August 7, 2013, RFG issued invoice #1189AT to Andrey Tretyakov, Dubai, UAE, Middle Asia Alfa in the amount of \$56,280 for purchase of the Formula, \$3,500 for delivery, \$12,000 for loading/shipping to Dubai, \$500 for commission, \$500 for documentation, and \$4,500 for a trailer, a total of \$77,280. Then on August 8, 2013, RFG issued invoice #1189AT to Crocus FZE in the amount of \$56,280.00 for purchase of the Formula, \$3,500 for delivery, \$12,000 for loading and shipping the Formula to Dubai, \$500 for commission, \$500 for documentation, and \$4,500 for a trailer, a total of \$77,280. On August 9, 2013, Crocus Investments wired \$59,780 to RFG to pay the \$56,280.00 for the Formula and the \$3,500 for delivery to the port of loading. Complainants did not pay the \$12,000 for loading and shipping the Formula to Dubai, \$500 for commission, \$500 for documentation, or \$4,500 for a trailer. (ALJFF 83-89.)

In November 2013, Solovyev told Safonov that he had found a trailer for the Formula but Safonov did not like the trailer. In December 2013, Solovyev offered what Safonov found to be a suitable trailer. The record contains three different RFG invoices with number 1204AS issued on December 3, 2013. The first is to Crocus FZE in the amount of \$12,000 for loading and shipping the Formula to Dubai, \$500 for commission, and \$500 for documentation. (CX 028.)<sup>2</sup> The second invoice is to Crocus FZE in the amount of \$4,950 for boat trailer 2005 NTTRL VIN LW95151. (CX 035.) The third invoice is to Crocus FZE in the amount of \$4,950 for boat trailer 2005 NTTRL VIN LW95151, \$12,000 for loading/shipping the Formula to Dubai, \$500 for commission, and \$500 for documentation. (CX 038.) On December 4, 2013, Crocus FZE wired \$4,950 to RFG to pay for boat trailer 2005 NTTRL VIN LW95151. The record does not contain any evidence that Complainants paid the \$12,000 for loading/shipping the Formula to Dubai, \$500 for commission, or \$500 for documentation.

Safonov reached the conclusion that Tretyakov, the Middle East Asia employee in Dubai, “started to become a crook” and decided that he did not want to deal with “crooks.” On February 14, 2014, Safonov sent an email to Solovyev stating: “I am sending you the name of the company in Florida – from which you

---

<sup>2</sup> “CX” followed by a number refers to a page in Complainants’ original appendix, “RX” followed by a number 1-89 refers to a page in Respondents’ original Appendix, “RX” followed by a number 90-95 refers to Respondents’ notice of filing dated May 4, 2016. I.D. at 10 n.5.

have received the money for Formula-34 – please prepare all documents for the boat reflecting this company’s information and send me all copies, ok? Do you know if copies of the documents will be enough to transfer Formula to Florida? It is good that we did [not] have time to send it to Dubai.” (CX 055.) Solovyev did not send the Formula to Florida.

I.D. at 5.

Regarding the Formula boat claims, the initial decision concluded:

The record shows that Complainants originally intended to ship the Formula to Dubai for repair and resale. On August 7, 2013, RFG sent invoice 1189AT for payment in the amount of \$77,280 to Complainants’ employee in Dubai, Andrey Tretyakov, reflecting \$56,280 for the Formula, \$3,500 for delivery, \$12,000 for loading/shipping to Dubai, UAE, \$500 for commission, \$500 for documentation, and \$4,500 for a trailer to load the boat. (FF 75 (CX 031)). Complainants wired \$59,780 on August 9, 2013, to RFG to pay for the Formula (\$56,280.00) and the cost of the delivery to the port of loading (\$3,500), and \$4,950 on December 4, 2013, to pay for the boat trailer. Complainants never paid the \$12,000 for loading and shipping the Formula to Dubai or the \$500 for Commission and \$500 for documentation. (ALJFF 76, 85, 92.) Safonov subsequently reached the conclusion that Tretyakov, the Middle East Asia employee in Dubai, “started to become a crook,” and on February 2014, instructed Solovyev to ship the Formula to Miami instead. (ALJFF 86, 87.) Therefore, Complainants and Respondents (MTL, Solovyev, or any of Solovyev’s companies) never entered into an agreement to transport the Formula by water from the United States to a foreign port.

As discussed above, an agreement to transport the Formula from New Jersey to Florida is not an agreement to “provide transportation by water of . . . cargo between the United States and a foreign country.” Therefore, any controversy about an alleged agreement to ship the Formula to Florida is not subject to the Shipping Act or the Commission’s jurisdiction.

I.D. at 26 (footnote omitted).

## **2. Commission Order**

The Commission Order, issued on July 16, 2019, (1) vacated “the ALJ’s dismissal of Crocus’s 46 U.S.C. § 41102(c) claim with respect to storage or other arrangements for the Formula from August 2013 to February 14, 2014” and remanded that claim “to the ALJ for further consideration consistent with the Final Rule issued by the Commission on December 12, 2018;” (2) affirmed “the Initial Decision in all other respects and dismis[s]e[d] all other claims against Respondents with prejudice;” and (3) denied “Crocus’s petition to reopen the proceedings and all relief requested in that petition.” Commission Order at 26.

The Commission discussed the Formula boat, stating:

With respect to the Formula boat, Crocus's claims relate to arrangements regarding: (1) the Formula prior to intended Florida transportation in February 2014; and (2) transporting the boat to Florida. With a limited exception with respect to (1), we affirm the ALJ's dismissal of Crocus's § 41102(c) claims regarding the Formula.

Crocus alleged that Marine Transport violated § 41102(c) by mishandling its responsibilities and overcharging it for arrangements related to the Formula. *See* Exceptions at 1-2, 6-10. The Formula was stored in a New Jersey warehouse from August 2013 through at least July 2014. I.D. at 17-18. The ALJ dismissed this claim because "[t]he evidence establishes that the third boat never left the United States; therefore, the third boat never entered into international commerce, the Shipping Act does not apply, and the Commission does not have jurisdiction to resolve disputes regarding its handling." *Id.* at 1-2. The ALJ further found that the parties "never entered into an agreement to transport the Formula by water from the United States to a foreign port." *Id.* at 26. The ALJ did not otherwise address the merits of Crocus's claims about the Formula. *See id.*

The parties' arguments before the ALJ, and on appeal, focused on whether there was an express or implied contract to transport the Formula overseas. In particular, in its exceptions, Crocus argues that there was an implied contract, and Respondents dispute that assertion. Exceptions at 2, 7-13; Reply at 3-12. The parties thus assume (and the I.D. could be read to hold) that the existence of a contract is critical to § 41102(c) liability.

The relevant inquiry here is not, however, limited to whether there was a contract for overseas shipment. Nor was the ALJ's focus on whether the Formula left the United States or had an agreement for overseas shipment clearly linked to the Shipping Act or precedent, and it unduly narrows the scope of the inquiry to two factors. The approach supported by the text of § 41102(c) and Commission caselaw asks: was the respondent acting as a regulated entity with respect to the conduct at issue? *See supra* at 13-14.

The inquiry here should have been: was Marine Transport acting as an OTI with respect to the Formula boat from August 2013 (when it was purchased) to February 2014 (when Crocus began to inquire about domestic transportation of the boat). This fact-intensive analysis takes into account the statutory definition of OTI (and in particular, NVOCC), and evidence about the parties' conduct during that time frame. *See, e.g., Worldwide Relocations—Possible Violations of the Shipping Act*, 32 S.R.R. 495, 503, 2012 FMC LEXIS 23, \*23-27 (FMC 2012); *Tienshan, [Inc. v. Tianjin Hua Feng Transport Agency Co., Ltd.]*, 31 S.R.R. 1831, 1842-43, 2011 FMC LEXIS 9, \*39-42 (ALJ 2011)].

Whether the Formula was actually transported to a foreign port or the subject of a contract to do so are highly relevant to this analysis, but not

necessarily determinative. For instance, the Commission has determined that a broad swath of conduct falls within the scope of NVOCC activities. *See* 46 C.F.R. § 515.2(k). This determination is made more difficult where, as here, the parties seem to operate without much documentation and/or respect for corporate or other formalities.

Because the ALJ did not clearly apply this analytical approach, the Commission vacates the ALJ's dismissal of the § 41102(c) claim regarding the Formula boat with respect to the time period from August 2013 to February 14, 2014, and remands so that the ALJ can determine whether Marine Transport was acting as an OTI or otherwise address the elements of § 41102(c).

Commission Order at 20-22 (heading omitted).

On July 22, 2019, the proceeding was reassigned to the undersigned and a remand scheduling order was issued. On August 9, 2019, at Crocus's request, a revised remand scheduling order was issued. Crocus's remand brief and appendix were filed on September 27, 2019. MTL's remand opposition brief and exhibits were filed on October 28, 2019. Crocus's remand reply brief and appendix were filed on November 14, 2019. The parties timely filed their remand briefs and did not request any additional discovery.

### **C. Arguments of the Parties**

Complainants allege that MTL acted as an OTI with regard to the Formula boat and that while acting as an OTI, MTL violated section 41102(c) with respect to storage or other arrangements for the Formula boat during the relevant time period. Remand Brief at 2-55. In their reply, Complainants contend that MTL's failure to follow the remand scheduling order instructions to address only the narrow issue remanded by the Commission concedes the issue; the Commission's use of precedent does not bar Crocus from seeking relief; MTL's unjust and unreasonable practices, which occurred on a normal, customary, and continuous basis, are self-evident; MTL's arguments regarding causation do not address the evidence and issues raised in Crocus's remand brief; Crocus established that MTL acted as an OTI and that Solovyev's actions as agent bind MTL as principal; and that MTL's proffered invoice should be summarily disregarded. Remand Reply at 2-17.

MTL asserts that the allegations in the complaint fall after the time period under consideration in this remand; Crocus failed to delineate an unjust or unreasonable practice and failed to allege that such practice was normal, customary, and continuous; Crocus failed to establish proximate cause; and MTL never acted as an OTI for the Formula boat as MTL did not deal with Crocus. Remand Opposition at 1-9.

### **D. Evidence**

Under the Administrative Procedure Act ("APA"), an Administrative Law Judge may not issue an order "except on consideration of the whole record or those parts thereof cited by a party and supported by and in accordance with the reliable, probative, and substantial evidence." 5 U.S.C. § 556(d); *see also Steadman v. SEC*, 450 U.S. 91, 102 (1981). This initial decision on

remand is based on the pleadings, exhibits, letter briefs, briefs, proposed findings of fact and conclusions of law, and replies thereto, as well as the remand briefs and exhibits filed by the parties.

This initial decision on remand addresses only material issues of fact and law. Proposed findings of fact not included in this decision were rejected, either because they were not supported by the evidence or because they were not dispositive or material to the determination of the allegations of the complaint or the defenses thereto. Administrative adjudicators are “not required to make subordinate findings on every collateral contention advanced, but only upon those issues of fact, law, or discretion which are ‘material.’” *Minneapolis & St. Louis R.R. Co. v. United States*, 361 U.S. 173, 193-94 (1959). To the extent individual findings of fact may be deemed conclusions of law, they shall also be considered conclusions of law. Similarly, to the extent individual conclusions of law may be deemed findings of fact, they shall also be considered findings of fact.

Many facts in this proceeding are disputed and it is not necessary to resolve disputes regarding facts that are not determinative. In addition, all relevant evidence is considered, even if the evidence is outside of the time period at issue. Communication, including invoices, sent after February 14, 2014, may be relevant to the intent of the parties during the time period at issue and are given due consideration. Specific findings of fact on remand are in section two, prior to the analysis and conclusions of law in part three, and the order in part four.

## **II. REMAND FINDINGS OF FACT**

The Commission affirmed the initial decision in all respects except for the section 41102(c) claim against MTL regarding the Formula boat and did not vacate any of the findings of fact in the initial decision. Commission Order at 2. Therefore, the findings of fact in the initial decision (“ALJFF”) are adopted. The findings relevant to the issues on remand, including whether MTL was acting as an OTI with respect to the Formula boat from August 2013 to February 14, 2014, are restated in this decision for ease of reference. New findings are included in subsection C below (“ALJFFR”).

### **A. General Findings of Fact**

1. Alexander Safonov (Safonov) is the 100% owner of complainants Crocus Investments, LLC and Crocus FZE. ALJFF 2, 4.
2. Safonov is the co-owner of Middle East Asia Alfa, FZC (“Middle East Asia”), not a party to this proceeding, and had decision-making rights for the company. ALJFF 5.
3. Safonov formed Middle East Asia with Oleg Bortsov to purchase used boats in the United States and ship the boats overseas for repair and sale in Dubai. ALJFF 6.
4. “[T]here was agreement between Crocus FZE and company, Middle East Asia Alfa, that I [Safonov], as Crocus FZE, invest my money into Middle East Asia Alfa.” ALJFF 8.
5. Middle East Asia employed Andrey Tretyakov (“Tretyakov”) as an associate in Dubai and Tretyakov also owned an interest in Middle East Asia. ALJFF 9-10.

6. In business situations, Safonov sometimes acts as Crocus Investments, sometimes as Crocus FZE, and sometimes as Middle East Asia. ALJFF 13.
7. Middle East Asia sold seven boats in Dubai that had been purchased in the United States. ALJFF 11.
8. Respondent MTL is licensed by the Commission as a non-vessel-operating common carrier, license number 018709. ALJFF 14.
9. Alla Solovyeva is the owner of MTL. ALJFF 16.
10. At the time the relevant events occurred, Respondent Aleksandr Solovyev and Alla Solovyeva were husband and wife, but separated. ALJFF 17.
11. Solovyeva is the sole owner, officer, and director of Car Express & Import, Inc. (“Car Express”). ALJFF 20.
12. At the request of customers, Car Express purchases automobiles and boats from auctions and arranges on behalf of that customer for the transportation of the automobile or boat from the United States to a foreign country. ALJFF 21.
13. Solovyeva is the sole owner, officer, and director of Respondent Royal Finance Group, Inc. (“RFG”). ALJFF 22.
14. Solovyeva is the owner, officer, and director of World Express & Connection, Inc. (“World Express”). ALJFF 23.
15. World Express is a warehouse company providing loading and storage services for vehicles, boats, and other cargo, including for ocean transportation from the United States to foreign ports. ALJFF 24.
16. World Express is located at 63 New Hook Road, Bayonne, NJ 07002. ALJFF 25.
17. MTL’s tariff provides that MTL’s container freight station/container yard (“CFS/CY”) “may be a designated warehouse. Shipper at its own expense, will deliver its vehicle to [MTL’s] designated warehouse for loading into the container for movement to the U.S. load port.” ALJFF 26.
18. MTL uses World Express as its CFS/CY. ALJFF 27.
19. At times, Solovyev or one of his companies acts as agent for MTL. ALJFF 28.
20. Safonov engaged Solvyev and his three companies to perform services for Safonov and his three companies to purchase used boats in the United States and ship the boats to Dubai for repair and resale. ALJFF 29.
21. Safonov and Solyvyev would view boats together online and Safonov would decide which boats to purchase. ALJFF 31.

22. All of the boats were purchased from the auction company Copart, a company that conducts Internet auctions of vehicles and boats in part by posting photographs and descriptions of the vehicles and boats online. ALJFF 30 and 32.
23. Car Express was a member of Copart and was able to purchase boats from Copart on behalf of buyers. ALJFF 33.
24. When Safonov wanted Solovyev to purchase a boat, RFG would often pay for the boat and incur other fees related to the purchase. ALJFF 34.
25. Safonov purchased about ten boats using Solovyev's services. ALJFF 39.
26. After purchase from Copart, the boats would be transported to the World Express warehouse. ALJFF 41.
27. Solovyev/Car Express, as agent for MTL, would arrange for the shipment of the boats to Dubai. ALJFF 42.
28. Other than the three boats at issue in this proceeding, Complainants did not have any problems with boats purchased and shipped to Dubai using Solovyev and his companies. ALJFF 43.
29. MTL's tariff states: "Carrier provides 30 calendar days free storage prior for vehicles, trucks and boats received for US export shipment at its CFS/CY as listed herein. Beyond 30 days, storage charges per day apply as follows: A. STORAGE CHARGES AT BAYONNE, NJ . . . Boats: USD 20 per day." ALJFF 103.

**B. Findings Related to the Formula Boat**

30. On August 7, 2013, Car Express purchased a 2010 Formula boat 34 PC, VIN TNRD7870C010, for Safonov for a total of \$56,280. ALJFF 74.
31. Safonov bought the Formula boat with the intention of sending it to Dubai for repair and resale. ALJFF 75.
32. On August 7, 2013, RFG sent invoice 1189AT to Alexander Safonov, Crocus Investments, for the purchase of a Formula boat 34 PC, VIN TNRD7870C010. ALJFF 76.
33. The RFG invoice indicates that Alexander Safonov, Crocus Investments, was charged \$56,280 for the Formula and \$3,500 for delivery, a total of \$59,780. ALJFF 77.
34. On August 7, 2013, RFG sent invoice 1189AT to Andrey Tretyakov, Dubai, UAE, Middle East Asia for the purchase of the Formula. ALJFF 78.
35. The RFG invoice indicates that Andrey Tretyakov, Dubai, UAE, Middle East Asia, was charged \$56,280 for the Formula, \$3,500 for delivery, \$12,000 for loading/shipping to

Dubai, \$500 for commission, \$500 for documentation, and \$4,500 for a trailer, a total of \$77, 280. ALJFF 79.

36. On August 9, 2013, Crocus Investments wired \$59,780 to RFG to pay for the Formula (\$56,280.00) and the delivery to the intended port of loading (\$3,500). ALJFF 80.
37. The Formula required a trailer for ocean shipment. ALJFF 81.
38. In November 2013, Solovyev told Safonov he found a trailer for the Formula but Safonov did not like the trailer. ALJFF 83.
39. In December 2013, Solovyev found another trailer for the Formula that Safonov found acceptable. ALJFF 84.
40. On December 3, 2013, RFG issued invoice #1204AS to Crocus FZE in the amount of \$12,000 for loading and shipping the Formula to Dubai, \$500 for commission, and \$500 for documentation, a total of \$13,000. ALJFF 85.
41. On December 3, 2013, RFG issued invoice #1204AS to Crocus FZE in the amount of \$4,950 for a boat trailer 2005 NTTL VIN LW95141 for the Formula. ALJFF 86.
42. On December 4, 2013, Crocus FZE wired \$4,950 to RFG to pay for boat trailer 2005 NTTL VIN LW95141. ALJFF 89.
43. Safonov reached the conclusion that Tretyakov, the Middle East Asia employee in Dubai, “started to become a crook.” ALJFF 90.
44. Safonov decided that he did not want to deal with “crooks,” so in February 2014 he instructed Solovyev to ship the Formula to Miami. ALJFF 91.
45. On February 14, 2014, Safonov sent an email to Solovyev stating: “I am sending you the name of the company in Florida – from which you have received the money for Formula-34 – please prepare all documents for the boat reflecting this company’s information and send me all copies, ok? Do you know if copies of the documents will be enough to transfer Formula to Florida? It is good that we did [not] have time to send it to Dubai.” ALJFF 92 (citation omitted).
46. On July 17, 2014, Safonov sent an email to Solovyev stating: “Aleksandr – please from you to Ft. Lauderdale – Formula-34 PC, + 2 boats that arrived from Dubai.” ALJFF 93.
47. On August 13, 2014, Solovyev sent Safonov an email stating:

Alexander, your attention to unpaid invoices for your boats!  
[Unfortunately] because of non-payment, we are not able to hold  
your boats anymore in our storage facility and have to cover all  
expenses of their storage, not later than Monday, 18<sup>th</sup> of August of  
year 2014! Your boat Formula has been stored in our storage  
facility for more than a year? This will not work! Therefore,

immediately I request to cover all your expenses! If you need help delivering the boats to Miami, our prices are as follow: Monterey and Chaparral – for \$3,500 each! Boat Formula to Miami - \$17,000.

ALJFF 96.

48. On August 13, 2014, Solovyev (RFG) sent an invoice to Crocus Investments for \$38,859.39 for 369 days of storage of the Formula. ALJFF 97.

### **C. New Findings of Fact**

49. The Formula boat was purchased and transported to the World Express warehouse, owned by Solovyev, for storage. *See* CX 256.
50. MTL issued an invoice to RFG for storage charges in the amount of \$39,409.93. Remand Brief at App. H.
51. RFG issued an invoice to Crocus Investments totaling \$39,409.93 with \$38,859.39 for 369 days of storage of the Formula boat and \$550 for unloading from the trailer. The storage fee for the Formula boat was based on storage charges of \$105.31 per day (\$9.60 for 1 linear meter per day x 10.97 linear meters). CX 106 (duplicate at Remand Brief at App. G).
52. The daily storage charged by RFG for MTL exceed the storage charges listed in MTL's tariff for boats received for U.S. export shipment. *See* ALJFF 103, CX 106.
53. All payments by Complainants related to the Formula boat were made to RFG, as the billing agent for Solovyev and MTL. *See* ALJFF 34, 80, 89.
54. MTL did not issue any shipping documents for transportation of the Formula boat to Dubai. *See* ALJFF 92, 96.

## **III. ANALYSIS AND CONCLUSIONS OF LAW**

### **A. Preliminary Issues**

#### **1. Jurisdiction**

The Shipping Act provides that a “person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part.” 46 U.S.C. § 41301(a). Pursuant to this provision, the Commission has jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act. *See Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, 30 S.R.R. 991, 997-99 (FMC 2006); *see also Cargo One, Inc. v. Cosco Container Lines Co.*, 28 S.R.R. 1635, 1645 (FMC 2000). Complainant alleges a violation of the Shipping Act within the Commission's jurisdiction.

## **2. Burden of Proof**

To prevail in a proceeding to enforce the Shipping Act, a complainant has the burden of proving by a preponderance of the evidence that the respondent violated the Act. 5 U.S.C. § 556(d) (“Except as otherwise provided by statute, the proponent of a rule or order has the burden of proof.”); 46 C.F.R. § 502.203; *Exclusive Tug Franchises – Marine Terminal Operators Serving the Lower Mississippi River*, 29 S.R.R. 718, 718-19 (ALJ 2001). “[A]s of 1946 the ordinary meaning of burden of proof was burden of persuasion, and we understand the APA’s unadorned reference to ‘burden of proof’ to refer to the burden of persuasion.” *Dir., Office of Workers’ Comp. Programs v. Greenwich Collieries*, 512 U.S. 267, 276 (1994). The party with the burden of persuasion must prove its case by a preponderance of the evidence. *Steadman v. SEC*, 450 U.S. at 102. When the evidence is evenly balanced, the party with the burden of persuasion must lose. *Greenwich Collieries*, 512 U.S. at 281. It is appropriate to draw inferences from certain facts when direct evidence is not available, and circumstantial evidence alone may even be sufficient; however, such findings may not be drawn from mere speculation. *Waterman S.S. Corp. v. General Foundries Inc.*, 26 S.R.R. 1173, 1180 (ALJ 1993), adopted in relevant part, 26 S.R.R. 1424 (FMC 1994).

### **B. Relevant Law**

The Shipping Act defines and regulates a number of different types of entities that are involved in the international shipment of goods by water, including two types of ocean transportation intermediaries. “The term ‘ocean transportation intermediary’ means an ocean freight forwarder or a non-vessel-operating common carrier.” 46 U.S.C. § 40102(20). “The term ‘ocean freight forwarder’ means a person that – (A) in the United States, dispatches shipments from the United States via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers; and (B) processes the documentation or performs related activities incident to those shipments.” 46 U.S.C. § 40102(19).

“The term ‘non-vessel-operating common carrier’ means a common carrier that – (A) does not operate the vessels by which the ocean transportation is provided; and (B) is a shipper in its relationship with an ocean common carrier.” 46 U.S.C. § 40102(17). To be an NVOCC, the entity must meet the Shipping Act’s definition of common carrier.

The term “common carrier” – (A) means a person that – (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation; (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country.

46 U.S.C. § 40102(7).

The statutory definitions are echoed in the Commission's regulations:

*Ocean transportation intermediary* means an ocean freight forwarder or a non-vessel-operating common carrier. For the purposes of this part, the term

- (1) *Ocean freight forwarder (OFF)* means a person that – (i) In the United States, dispatches shipments from the United States via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers; and (ii) Processes the documentation or performs related activities incident to those shipments; and
- (2) *Non-vessel-operating common carrier (NVOCC)* means a common carrier that does not operate the vessels by which the ocean transportation is provided, and is a shipper in its relationship with an ocean common carrier.

46 C.F.R. § 515.2(m).

*Common carrier* means any person holding itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation that:

- (1) Assumes responsibility for the transportation from the port or point of receipt to the port or point of destination, and
- (2) Utilizes, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country . . . .

46 C.F.R. § 515.2(e).

The Commission promulgated regulations providing examples of NVOCC services performed by OTIs.

*Non-vessel-operating common carrier services* refers to the provision of transportation by water of cargo between the United States and a foreign country for compensation without operating the vessels by which the transportation is provided, and may include, but are not limited to, the following:

- (1) Purchasing transportation services from a common carrier and offering such services for resale to other persons;
- (2) Payment of port-to-port or multimodal transportation charges;
- (3) Entering into affreightment agreements with underlying shippers;
- (4) Issuing bills of lading or other shipping documents;

- (5) Assisting with clearing shipments in accordance with U.S. government regulations;
- (6) Arranging for inland transportation and paying for inland freight charges on through transportation movements;
- (7) Paying lawful compensation to ocean freight forwarders;
- (8) Coordinating the movement of shipments between origin or destination and vessel;
- (9) Leasing containers;
- (10) Entering into arrangements with origin or destination agents;
- (11) Collecting freight monies from shippers and paying common carriers as a shipper on NVOCC's own behalf.

46 C.F.R. § 515.2(k).

The complaint alleges that Respondent violated section 41102(c) of the Shipping Act, which states: "A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property." 46 U.S.C. § 41102(c).

On September 7, 2018, the Commission issued a notice of proposed rulemaking "to obtain public comments on clarification and guidance regarding the Commission's interpretation of the scope of 46 U.S.C. 41102(c) (section 10(d)(1) of the Shipping Act of 1984)." Notice of Proposed Rulemaking: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 45367 (Sept. 7, 2018) ("NPRM"). In the notice of proposed rulemaking, the Commission stated *inter alia*:

Specifically, the Commission is considering an interpretive rule consistent with Commission precedent . . . that would restore the scope of § 41102(c) to prohibiting unjust and unreasonable *practices* and *regulations*. These decisions require that a regulated entity engage in a practice or regulation on a *normal*, *customary*, and *continuous* basis and a finding that such practice or regulation is unjust or unreasonable to violate that section of the Shipping Act.

NPRM, 83 Fed. Reg. at 45368 (emphasis in original, internal citations omitted).

On December 17, 2018, the Commission issued a final rule adopting the September 7, 2018, notice of proposed rulemaking without change. Final Rule, 83 Fed. Reg. 64478. Rule 545.4, states:

46 U.S.C. 41102(c) is interpreted to require the following elements in order to establish a successful claim for reparations:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4; *see also* Final Rule: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478 (Dec. 17, 2018) (“Final Rule”).

## **C. Discussion**

### **1. Whether Respondent Acted as a Regulated Entity**

The Commission remand requires the determination of whether Respondent MTL was acting as a regulated entity with regard to the Formula boat. To be a regulated entity under section 41102(c), MTL must have been acting as a common carrier, marine terminal operator, or ocean transportation intermediary. There is no allegation that MTL was an ocean common carrier or a marine terminal operator. Ocean transportation intermediaries may be ocean freight forwarders or NVOCCs. The initial decision found that for the first two boats at issue, MTL acted as an NVOCC when exporting the boats.

Crocus alleges that MTL acted as an OTI with regard to the subject Formula boat. Remand Brief at 2-18. MTL asserts that it never acted as an OTI with respect to the Formula boat during the subject time period as MTL did not deal with Crocus and did not perform the OTI activities enumerated by the Commission in Rule 515.2(k) with regard to the Formula boat. Remand Opposition at 7-9.

To conclude that an entity operated as an NVOCC, the entity must meet the Shipping Act’s definition of a common carrier; that is, it must hold itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation, assume responsibility for the transportation from the port or point of receipt to the port or point of destination, and use for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country. 46 U.S.C. § 40102(7); *see also* *MAVL Capital Inc. v. Marine Transport Logistics and Dmitry Alper*, 2020 FMC LEXIS 216, \*8, FMC Docket No. 16-16, Memorandum Opinion and Order (“FMC Order”) at 11 (FMC Oct. 29, 2020).

The Commission has long relied on these three factors – holding itself out, assuming responsibility, and transportation by water – to identify a common carrier:

As a “common carrier” is defined in the Shipping Act, an NVOCC “holds out” to the “general public to provide transportation by water” and “assumes responsibility for the transportation from the port or point of receipt to the port or point of destination.” 46 U.S.C. §1702(6). The Commission has found that no single factor of an entity’s operation is determinative of its status as a common carrier. [*River Parishes Co., Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751, 763 (FMC 1999); *Activities, Tariff Filing Practices and Carrier Status of Containerships, Inc.*, 9 F.M.C. 56, 62-65 (FMC 1965) (“*Containerships*”)]. Rather, the Commission must evaluate the indicia of common carriage on a case-by-case basis. *Id.*

*Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd.*, 29 S.R.R. 119, 162 (FMC 2001); *see also Worldwide Relocations*, 32 S.R.R. at 503. Each element will be discussed in turn.

#### **a. Holding Itself Out**

The first factor in determining whether an entity operated as an NVOCC is whether the entity “holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation.” 46 U.S.C. § 40102(7)(A)(i). The Commission explained:

The most essential factor is whether the carrier holds itself out to accept cargo from whoever offers to the extent of its ability to carry, and the other relevant factors include the variety and type of cargo carried, number of shippers, type of solicitation utilized, regularity of service and port coverage, responsibility of the carrier towards the cargo, issuance of bills of lading or other standardized contracts of carriage, and the method of establishing and charging rates.

*Rose Int’l, Inc.*, 29 S.R.R. at 162 (citation omitted).

“The absence of solicitation does not determine that a carrier is not a common carrier.” *Transp. by Mendez & Co., Inc.*, 2 U.S.M.C. 717, 720 (1944). Holding out can also be demonstrated by a course of conduct. *Containerships*, 9 F.M.C. at 62. It is sufficient if an entity “held out, by a course of conduct, that they would accept goods from whomever offered to the extent of their ability to carry.” *Transp. by Southeastern Terminal & S.S. Co.*, 2 U.S.M.C. 795, 796-797 (1946). Moreover, “the common carrier status depends on the nature of what the carrier undertakes or holds itself out to undertake to the general public rather than on the nature of the arrangements which it may make for the performance of its undertaken duty.” *Bernhard Ulmann Co., Inc. v. Porto Rican Express Co.*, 3 F.M.B. 771, 778 (1952).

Addressing the element of holding out to provide transportation by water between the United States and a foreign country for compensation, the Commission stated in *Worldwide Relocations* (FMC 2012) that an entity may hold out to the public ““by the establishment and maintenance of tariffs, by advertisement and

solicitation, and otherwise.” *Worldwide Relocations (FMC 2012)*, 32 S.R.R. at 503 (citing *Common Carriers by Water – Status of Express Companies, Truck Lines and Other Non-Vessel Carriers*, 1 S.R.R. 292 (FMC 1961)). The Commission noted that it “has previously found that advertising and solicitations to the public are important factors in determining the issue of ‘holding out’ by an entity.” *Id.*

*EuroUSA Shipping, Inc. – Possible Violations of Section 10 of the Shipping Act of 1984 and the Commission’s Regulations*, 32 S.R.R. 1906, 1913, 2013 FMC LEXIS 44, \*13-14 (FMC 2013).

In this case, MTL was a licensed NVOCC which held itself out to provide transportation by water of cargo between the United States and foreign countries for compensation. The record shows a course of conduct between the parties wherein MTL acted as an NVOCC for the overseas shipment of Crocus’s boats, including the two other boats identified in the complaint. Although MTL argues that it did not deal directly with Crocus, the evidence shows that Solovyev was acting as MTL’s agent when shipping Safonov’s boats overseas, including arranging for transportation to the port of loading and coordinating the purchase of a trailer so that MTL could ship the Formula boat overseas.

The evidence shows that when MTL first received the Formula boat in August of 2013, the intent of the parties was for it to be shipped to Dubai, as the other boats had been. ALJFF 74-75. RFG sent invoices to Safonov at Crocus Investments for the purchase and delivery and to Tretyakov at Middle East Asia for the purchase, delivery, and shipping. ALJFF 76-79. In August of 2013, Crocus Investments wired \$59,780 to RFG to pay for the Formula and its delivery to the intended port of loading. ALJFF 80. On December 4, 2013, Crocus, FZE wired \$4,950 to RFG to pay for a boat trailer which was required for ocean shipment of the Formula. ALJFF 81, 89. It was not until February 14, 2014, when Safonov decided not to ship the Formula overseas, that the planned shipment changed from an international ocean shipment to a domestic shipment. Accordingly, the factor of holding out is established.

#### **b. Assumes Responsibility**

The second factor is whether the entity “assumes responsibility for the transportation from the port or point of receipt to the port or point of destination.” 46 U.S.C. § 40102(7)(A)(ii).

In *Common Carriers by Water*, [6 F.M.B. 245, 250 (1961)], the Federal Maritime Board noted that an entity may be considered a common carrier even if it attempts to disclaim liability because liability may be imposed by operation of law. 6 F.M.B. at 256. However, “[a]ctual liability as a common carrier over the entire journey including the water portion is essential” to determine NVOCC status. *Id.* Although the Commission has not focused on this aspect of common carrier status, favoring the “holding out” analysis, it remains an essential element of the “common carrier” definition in the Shipping Act. 46 U.S.C. § 40102([7])(A)(ii).

*In the Matter of the Lawfulness of Unlicensed Persons Acting as Agents for Licensed Ocean Transp. Intermediaries*, 31 S.R.R. 185, 199 (FMC 2008) (Dye, dissent (favorably cited by reversing court)) (*rev’d Landstar Express Am., Inc. v. FMC*, 569 F.3d 493 (D.C. Cir. 2009)). The

Commission's jurisdiction over matters relating to transportation by water of cargo between the United States and a foreign country by a common carrier essentially begins when a common carrier assumes responsibility for transportation of the cargo and ends when the cargo is delivered to the consignee at the place of destination contemplated by the contract of carriage. See, e.g., *Norfolk Southern R. Co. v. James N. Kirby, Pty Ltd.*, 543 U.S. 14, 23-27 (2004); *Kawasaki Kisen Kaisha Ltd. v. Regal-Beloit Corp.*, 561 U.S. 89, 108 (2010); *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics*, 32 S.R.R. 126, 2011 FMC LEXIS 12, \*56 (FMC 2011).

Issuing bills of lading may demonstrate a course of conduct sufficient to establish assumption of responsibility.

Barbour's course of conduct of issuing the seventy-four bills of lading to his customers proves that he held out to members of the general public that he provides transportation of cargo by water between the United States and foreign countries for compensation. The Barbour Shipping bills of lading also prove that Barbour assumed responsibility for the transportation of the cargo, and with the Liberty Global bills of lading, prove that the shipments were transported by water between the United States and a foreign port.

*Barbour – Possible Violations of Sections 8 and 19*, 34 S.R.R. 959, 972, 2016 FMC LEXIS 1, \*37-38 (ALJ 2016).

The question here is whether MTL assumed responsibility for transporting the Formula boat overseas. The evidence shows that even though shipping documents to Dubai had not yet been issued, MTL assumed responsibility for the Formula boat when it accepted the Formula boat for overseas shipment, consistent with the course of conduct between the parties. In this case, the destination was changed prior to the Formula being shipped overseas but after MTL coordinated the delivery of the Formula to the port, billed Complainants through RFG, and Crocus Investments paid for the purchase and delivery to the port of loading. ALJFF 76-80. MTL assumed responsibility for the Formula boat when it accepted delivery of the boat in anticipation of shipping the Formula to Dubai. Accordingly, Complainants have established that MTL assumed responsibility for the Formula boat.

### **c. International Transportation by Water**

The third factor is whether the entity "uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country." 46 U.S.C. § 40102(7)(A)(ii). As the Commission has stated, "the intention of the shipper as to the ultimate destination at the time the cargo starts is the test of its character, though broken, transported by more than one carrier, or moving on through or local bills of lading." *Matson Navigation Co., Inc.—Transport. of Cargoes Between Ports and Points Outside Haw. and Islands Within the St. of Haw.*, 24 S.R.R. 979, 988 (1988) (quoting *Intercoastal Investigation*, 1935, 1 U.S.S.B.B. 400, 440 (1935)).

Here, Safonov bought the Formula with the intention of sending it to Dubai for repair and resale. ALJFF 75. The evidence demonstrates that the intent of the parties from August 2013 to February 2014 was to ship the Formula from the United States to Dubai by water as had been

done without issue for the other two boats. That intent changed on February 14, 2014, when Safonov changed the destination for the transportation to Florida. In an email communicating the change in plans for the boat to Solovyev, Safonov stated in pertinent part: “It is good that we did [not] have time to send it to Dubai.” ALJFF 92. Had the transportation to Dubai taken place as originally intended, MTL would have used a vessel operating on the high seas to perform the transportation from the United States to Dubai. Accordingly, the factor of international transportation by water is established.

Complainants have established that from August 2013 to February 2014, MTL was acting as an ocean transportation intermediary, an NVOCC, for the Formula boat. MTL, through Solovyev and RFG, dealt with Safonov and Crocus and performed OTI activities for the Formula boat. Therefore, MTL was a regulated entity and the Commission has jurisdiction over this claim.

## **2. Section 41102(c) Elements**

To establish a violation of section 41102(c), a complainant must demonstrate that the respondent is a regulated entity; the claimed acts or omissions occurred on a normal, customary, and continuous basis; the practice or regulation is connected with receiving, handling, storing, or delivering property; the practice or regulation is unjust or unreasonable; and the practice or regulation is the proximate cause of the claimed loss. 46 C.F.R. § 545.4. Each element is discussed in turn.

### **a. MTL Acted as an OTI**

Because section 41102(c) governs the activities of common carriers, marine terminal operators, and ocean transportation intermediaries, to violate it, an entity must be a common carrier, marine terminal operator, or an ocean transportation intermediary within the meaning of the Shipping Act. As discussed above, the evidence shows that MTL acted as an NVOCC – a type of ocean transportation intermediary – for the Formula boat, a required element to demonstrate a section 41102(c) violation.

### **b. Normal, Customary, and Continuous Basis**

The Commission adopted an interpretive rule explaining what constitutes regulations and practices under the Shipping Act:

In drafting the 1916 Act, and through its revisions and reenactment in 1984, Congress chose the word ‘practice’ and the phrase, ‘establish, observe, and enforce just and reasonable regulations and practices,’ to describe actions or omissions engaged in on a normal, customary, and continuous basis. From its origin and as recently as 2001, § 41102(c) was interpreted in line with this understanding. To find a violation of § 41102(c), the Commission consistently required that the unreasonable regulation or practice was the normal, customary, often repeated, systematic, uniform, habitual, and continuous manner in which the regulated common carrier was conducting business. This understanding as to what constitutes ‘regulations and practice’ under the Shipping Act is supported by multiple accepted rules of statutory construction.

Final Rule, 83 Fed. Reg. at 64479 (internal citations omitted).

Complainants have the burden to establish that the unjust and unreasonable acts in question occurred on a normal, customary, and continuous basis and thus were a “regulation or practice” by Respondent. As explained below, the record does not support a finding that MTL unlawfully withheld property, committed conversion, charged unreasonable storage rates, or otherwise committed unjust or unreasonable acts on a normal, customary, and continuous basis.

There is limited evidence regarding MTL’s normal and customary policies regarding storage rates and policies for boats. The record contains evidence regarding the three boats initially at issue in this proceeding and shipments in a few other FMC proceedings. Regarding the other two boats at issue in this proceeding, there is no evidence of unjust or unreasonable acts prior to shipping the boats overseas as discussed in the initial decision and commission order. The appropriate charges for storage of these boats is also the subject of the related case currently pending in New Jersey federal court.

Crocus points to two previous cases alleging that MTL violated section 41102(c): *Best Way USA, Inc. v. Marine Transport Logistics* and *Samir Abusetta d/b/a Sammy’s Auto Sales v. JAX Auto Shipping and Marine Transport Logistics*. Crocus also contends that this element is “self-evident.” Remand Reply at 6-7. MTL asserts that Crocus fails to allege that an unreasonable practice occurred on a normal, customary, and continuous basis. Remand Opposition at 3-6. Two other pending cases against MTL, Docket No. 16-16 and Docket No. 20-12, have not yet decided the question of whether MTL violated section 41102(c).

In *Best Way*, the Commission affirmed a Settlement Officer’s finding that MTL violated section 41102(c) for a 2007 shipment, in part based on unlawful storage charges at origin as well as en route. *Best Way USA, Inc. v. Marine Transport Logistics*, 33 S.R.R. 13, FMC Docket No. 1901(I), Order Affirming Settlement Officer Decision (“FMC Order”) at 9 (FMC Nov. 8, 2013). The *Best Way* decision was issued prior to the 41102(c) Interpretive Rule and stands for the proposition that the NVOCC is responsible for increases in shipping costs after agreeing to transport goods. *Best Way*, FMC Order at 3-4. In *Best Way*, it does appear that there was a violation of section 41102(c) based, in part, on unreasonable storage charges assessed prior to a vehicle being exported. *Best Way*, FMC Order at 3. The *Best Way* case, decided prior to the interpretive rule, does not suggest that this was part of MTL’s business model or that it occurred on a normal, customary, and continuous basis.

In *Samir Abusetta*, Jax Auto Shipping was found liable for violating the Shipping Act. *Samir Abusetta d/b/a Sammy’s Auto Sales v. Jax Auto Shipping and Marine Transport Logistics*, FMC Docket No. 1932(I), Order Reversing, In Part, Decision of the Settlement Officer and Issuing Reparations (“FMC Order”) (FMC Oct. 18, 2016). The Commission stated that “to determine whether Jax violated § 41102(c), the Commission must analyze whether it acted as an OTI in connection with Claimant’s shipment.” *Samir Abusetta*, FMC Order at 6. However, the Commission also found that the claimant hired Jax, not MTL, to ship the cargo and therefore that MTL did not violate the Shipping Act. *Samir Abusetta*, FMC Order at 7. In addition, this case was decided prior to the interpretive rule and the issue of normal, customary, and continuous basis is not addressed.

Therefore, there is only one other similar violation identified and that was for a shipment in 2007, many years prior to the shipment in this case. The finding in *Best Way* that the storage charge for the one shipment was unreasonable and the finding below that the storage charge for this one shipment was unreasonable are not sufficient to establish that MTL's storage rates were unreasonable on a normal, customary, and continuous basis. Indeed, it is clear from the course of conduct between these parties that this shipment was not the normal and customary arrangement because of the delay in finding an appropriate trailer, the delay in shipping the boat, and the change in destination. Thus, the evidence of unjust and unreasonable acts by Respondent does not rise to a level constituting a "regulation and practice" as described by the Commission.

The evidence of record does not support a finding that any unjust and unreasonable acts by Respondent extended beyond these two instances involving one car in *Best Way* and the boat at issue in this proceeding. Accordingly, Complainants fail to meet their burden to demonstrate that the unjust and unreasonable acts by MTL occurred on a normal, customary, and continuous basis, a prerequisite for a successful claim for reparations under the section 41102(c) interpretive rule. 46 C.F.R. § 545.4; Final Rule, 83 Fed. Reg. at 64479.

**c. Connected with Receiving, Handling, Storing, or Delivering Property**

The evidence demonstrates that when the Formula boat was purchased in August of 2013, the intent was to ship it to Dubai but there were delays, in part due to finding a suitable trailer which was required for ocean shipment. ALJFF 74-75, 81, 83-84. While the Formula awaited shipment, MTL put it in storage. In February of 2014, Safonov decided to change the destination from Dubai to Florida, stating "It is good that we did [not] have time to send it to Dubai." ALJFF 92 (quoting CX 055). On August 13, 2014, Solovyev sent Safanov an invoice for 369 days of storage of the Formula and an email regarding unpaid invoices for three boats, stating "because of non-payment, we are not able to hold your boats anymore in our storage facility and have to cover all expenses of their storage." ALJFF 96 (quoting CX 103). Accordingly, the evidence shows that the alleged violation was connected to receiving, handling, storing, or delivering property.

**d. Unjust and Unreasonable**

The complaint alleges that section 41102(c) was violated because MTL unlawfully withheld "Complainant's property (boats) and/or commit[ed] conversion against the Complainant's property." Complaint at 5. Complainant points to the similarity between this case and *Best Way* to argue that MTL assessed unlawful storage charges. Remand Brief at 50. In their remand brief, Crocus alleges that MTL "held complainant's cargo based on unlawful charges for storage," MTL knowingly failed to inform Complainants as to the accrual of storage charges for the boat, and Respondent "failed to complete some of their duties to secure delivery of claimants' property such as finding a suitable trailer so that the Formula boat could be exported." Remand Brief at 29, 45.

MTL contends that the invoices for storage charges were not issued until August of 2014, well after the subject time period, and therefore occurred after the shipping aspect of the transaction had been completed. Remand Opposition at 1-3. Moreover, MTL asserts that "Crocus

has not delineated an unjust and unreasonable practice on the part of MTL before this transaction turned to a domestic one.” Respondent Remand Opposition at 3.

In this case, Respondent stored the Formula boat from August 2013, when it was purchased, though at least July 2014. Approximately half of that time was while the parties anticipated international shipment. The storage fee was for the entire 365 days of storage, encompassing both the time when international export was anticipated and when domestic transportation was anticipated. Only the time until February 14, 2014, would be under the jurisdiction of the Commission.

The evidence also shows that the tariff rate for storage of boats was \$20, which is significantly below the \$105.31 per day charged to Crocus. ALJFFR 50-52. MTL’s tariff states: “Carrier provides 30 calendar days free storage prior for vehicles, trucks and boats received for US export shipment at its CFS/CY as listed herein. Beyond 30 days, storage charges per day apply as follows: A. STORAGE CHARGES AT BAYONNE, NJ . . . Boats: USD 20 per day.” ALJFF 103 (quoting CX 178). The Formula boat was received for export shipment. No justification is provided for the higher charge and there is no indication that Complainants were provided notice of the charge before receiving the storage bill. While MTL is not expected to store the boat for free, the record supports a finding that the \$105.31 per day charge, imposed without notice after a year, is unreasonable. If the other elements of section 41102(c) were met, then this element would be met as well, as Complainants have established that the storage charge was unjust and unreasonable.

**e. Proximate Cause of Loss**

Crocus alleges in the complaint that the boats were never delivered to Crocus and are presumably in MTL’s possession. Complaint at 5. In their brief filed prior to the initial decision, Crocus asserted that they are entitled to the amount paid for the Formula boat (\$59,780) and its trailer (\$4950). Initial Brief at 9 (filed Jan. 14, 2016). If the other elements of section 41102 were met, then this element would be met as well as the failure to deliver the Formula boat and the storage charges assessed were the proximate cause of the loss claimed by Crocus.

**3. Conclusions**

The Commission has jurisdiction over this claim because MTL was acting as a regulated entity when it assumed responsibility for the Formula boat from August 2013 to February 2014. Because Crocus fails to establish that the conduct by MTL occurred on a normal, customary, and continuous basis, Crocus fails to demonstrate all of the interpretive rules’ required elements for successfully establishing a section 41102(c) claim for reparations. Complainants’ claim for reparations must therefore be denied and dismissed.

**IV. ORDER**

Upon consideration of the record herein, the arguments of the parties, and the conclusions and findings set forth above, it is hereby

**ORDERED** that Crocus’s complaint be **DISMISSED WITH PREJUDICE**. It is

**FURTHER ORDERED** that any other pending motions or requests be **DISMISSED AS MOOT**. It is

**FURTHER ORDERED** that this proceeding be **DISCONTINUED**.



---

Erin M. Wirth  
Chief Administrative Law Judge